

Financial Investment Tools	
Bank Fixed Deposits (FDs)	Superannuation
Bank Recurring Deposits (RDs)	Gold
PPF (Public Provident Fund)	Stocks
EPF (Employee Provident Fund)	Bonds
VPF (Voluntary Provident Fund)	Mutual Funds
National Pension Scheme (NPS)	FMPs (Fixed Maturity Plans) of MFs
Sukanya Samridhi Scheme (SSS)	Commodities
Gratuity	Real Estate

Gold

Having seen most of the traditional investment vehicles, let us now look at gold as an investment vehicle. In India, and in many other countries, gold is just seen as a security in case of an emergency or in case of important occasions in life such as marriage. Traditionally, we never think of gold as an investment vehicle and a way to help us reach financial success. This may be because of the culture that we have been brought up in.

However, things are changing. Today's generation is using gold as an important element in their portfolio. As an investment, you expect gold to beat inflation and give returns which you can use else where. It is no longer a dead investment like jewellery, that lies in your bank locker and for which you pay rental charges.

Today, gold is assumed to be an excellent diversification in your portfolio. In fact, no portfolio can be said to be complete without a defined and planned element of gold investment. It is not only an excellent hedge against inflation but also the best bet in the event of a big risk that you are otherwise carrying in your portfolio.

Gold should be an important part of a diversified investment portfolio because its price increases in response to events that cause the value of paper investments, such as stocks and bonds, to decline. This relationship is important to understand. Those of you who have invested actively in stocks might have realized the inverse relationship between gold and the stock